THEMATIC RESEARCH · BANK OF JAPAN

Japan Hits 2%: The End of a 30-Year Fight Against Deflation

On 30 October the Bank of Japan said for the first time since adopting its 2% target in 2013 that underlying inflation is at a level consistent with it. It held rates at 1.25% in an 8-1 vote, with one member wanting a hike, and signalled that the next increase could come as soon as December. This report explains what the BoJ declared, how Japan got here, what it means for rates, the yen and markets, and why the job is now to stop inflation overshooting.

Global Markets Research · Macro Desk Prepared by ANDRA MARKETS

~2%

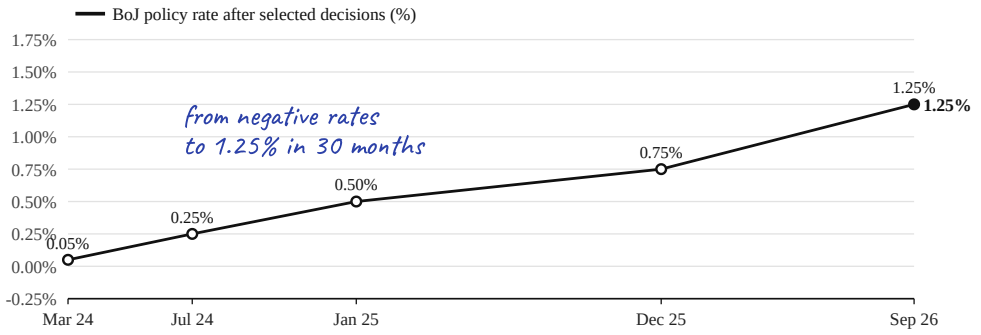
first time since 2013

Coverage summary. The Bank of Japan's quarterly Outlook Report states that "underlying CPI inflation is at a level that is generally consistent with the price stability target of 2 percent" and is expected to stay there, replacing July's language that it was approaching 2%. Governor Kazuo Ueda said the target has not yet been achieved in a sustainable and stable way, but that the bank's task has changed: from now on it must prevent inflation overshooting. The policy rate stayed at 1.25% after a hike in September; board member Hajime Takata voted for 1.5%. All 16 economists in a CNBC survey expect the BoJ to prepare a hike for December or January, and markets put the odds of a December move at about 68%. Core inflation rose to 2.1% in September and real wages have grown for eight straight months.

mission: from reach to restrain

POLICY RATE	CORE CPI, SEP	DEC HIKE ODDS	10-YEAR JGB
1.25%	**2.1%**	**~68%**	**2.76%**
held 8-1; Takata for 1.5%	*core-core 2.3%*	*after the meeting (FatTail)*	*3.05% Sep avg; 30-yr high*

EXHIBIT 1. BANK OF JAPAN POLICY RATE AFTER SELECTED DECISIONS (%)



-0.1% to 1.25%

Sources: Bank of Japan; CNBC (December 2025, 0.75%); Jiji Press (September 2026 hike to 1.25%). Selected decisions only; March 2024 shown at the midpoint of 0-0.1%.

1.0 Executive Summary

Key takeaways

~2%

A regime change in language. For nearly 14 years the BoJ's statements described a central bank trying to reach 2%. On 30 October it said it had reached it. As one analyst put it to Reuters, the debate shifts from when the next hike comes to where the policy rate stops.

a new phase

Dec or Jan

The next hike is close. The guidance says the bank will continue to raise rates. Takata already wanted 1.5%, economists expect a move in December or January, and the upgraded forecasts put core inflation at 2.5% in fiscal 2026 and 2.6% in fiscal 2027.

~1.5%

This time inflation is domestic. Real wages rose 1.5% in August, the eighth monthly gain, and the finance minister says Japan is on the cusp of wage-driven inflation. Core-core inflation, which excludes food and energy, rose to 2.3% in September.

Bond yields have already moved. The ten-year JGB yield reached 3.055% in September, its highest since 1996, before easing to about 2.76% at the end of October. Higher Japanese yields matter globally, because Japanese investors are among the largest holders of foreign bonds.

The yen is the pressure point. It traded near 164 per dollar in July and is around 157 now, because the gap with US rates remains wide. Further BoJ hikes and a Fed pause would be needed to narrow it.

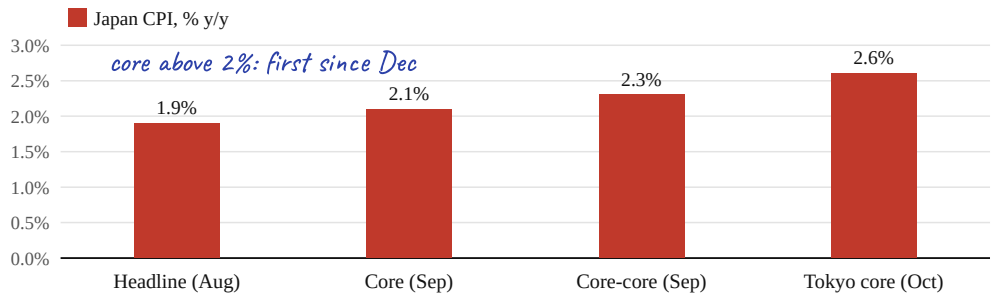
Our reading. Japan has exited the deflation era, but with rates of 1.25% against 3.75% to 4% in the US its policy is still accommodative. The path from here is gradual hikes towards an uncertain neutral rate, with the yen, JGB yields and Japanese equities the main transmission channels for the rest of the world.

2.0 What the BoJ Declared

The words that changed

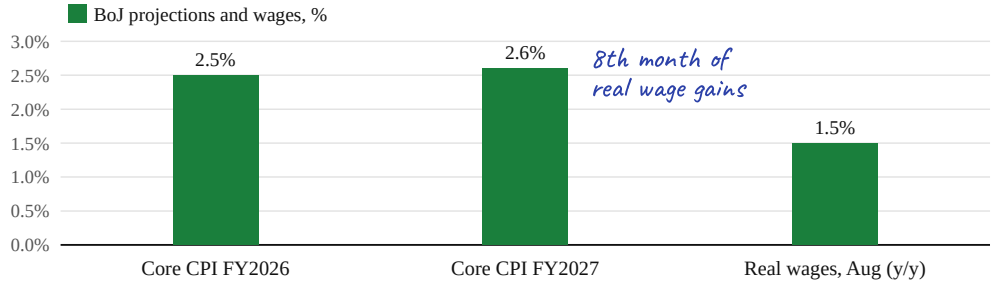
The change is precise. July's report said underlying CPI inflation had been approaching 2%; October's says it is at a level generally consistent with the 2% target and is expected to remain at around that level. The guidance adds that, with financial conditions accommodative, the Bank will continue to raise the policy interest rate. Ueda stressed that inflation expectations are not yet anchored at 2% and that the bank will judge each meeting on the data, keeping every meeting live. He also said that while the bank could tolerate rising underlying inflation in the past, with inflation at 2% it is now undesirable for it to rise significantly. Analysts read the report as more focused on upside risks to inflation and activity, citing a more upbeat tone on exports and capital spending driven by AI-related demand.

Exhibit 2. Japan inflation measures (% year on year)



Sources: Statistics Bureau via Financecalendar and CNBC (August headline; September core and core-core); Tokyo CPI via ATFX (October).

Exhibit 3. BoJ projections and real wages (%)



Sources: Bank of Japan Outlook Report (October 2026) via Newsy Today and FatTail; Ministry of Health, Labour and Welfare via CNBC (real wages, August).

3.0 How Japan Got Here

From Kuroda's bazooka to Ueda's exit

The 2% target dates from 2013, when Governor Haruhiko Kuroda launched massive monetary easing, later adding negative rates and control of the yield curve. Inflation stayed below target for most of the decade. The turn came with the post-pandemic surge and, crucially, wage settlements: Japanese companies delivered their largest pay increases in decades in 2024 and 2025. The BoJ ended negative

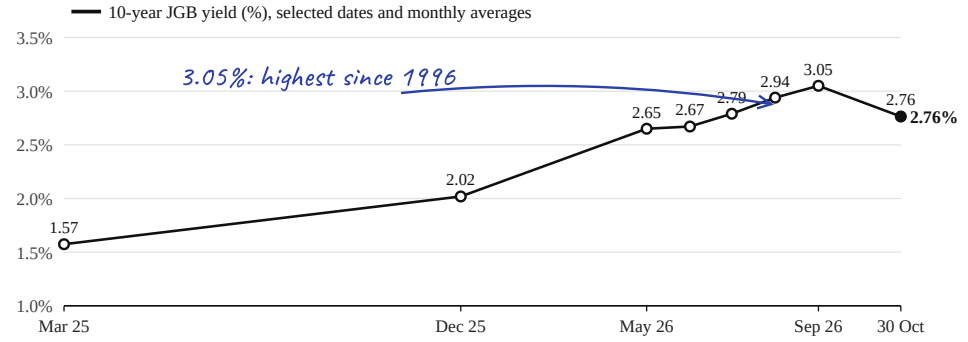
rates in March 2024, hiked to 0.25% in July 2024, 0.5% in January 2025, 0.75% in December 2025, the highest since 1995, and to 1.25% in September 2026. Each step was small; together they have taken Japan out of the zero-rate world in two and a half years.

4.0 Markets

Bonds, the yen and stocks

Japanese government bond yields have risen steadily. The ten-year passed 2% for the first time since 1999 after the December 2025 hike, averaged 3.05% in September 2026 and touched 3.055% on 24 September, the highest since August 1996, when US Treasury yields surged and the yen weakened. It eased to about 2.76% by 30 October as global yields fell. The five-year yield hit a record 2.345% in September. Higher JGB yields raise Japan's debt-service costs and make domestic bonds more attractive to Japanese investors, which could slowly pull money home from US and European bond markets.

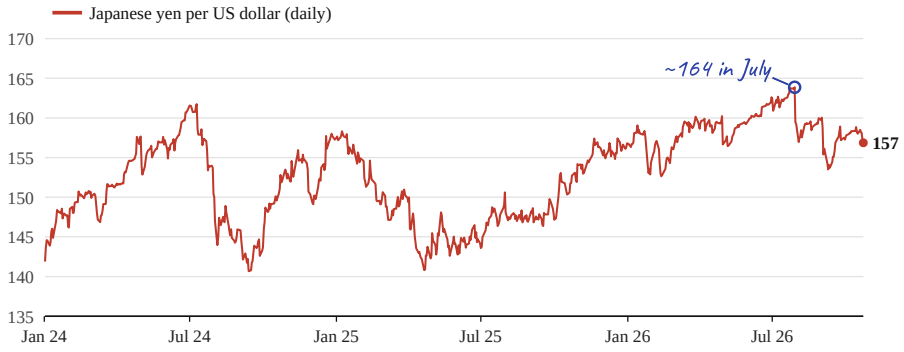
Exhibit 4. 10-year Japanese government bond yield (%)



Sources: Barchart (10 Mar 2025); CNBC (19 Dec 2025); FRED IRLTLT01JPM156N monthly averages (May-Sep 2026); Investing.com (30 Oct 2026).

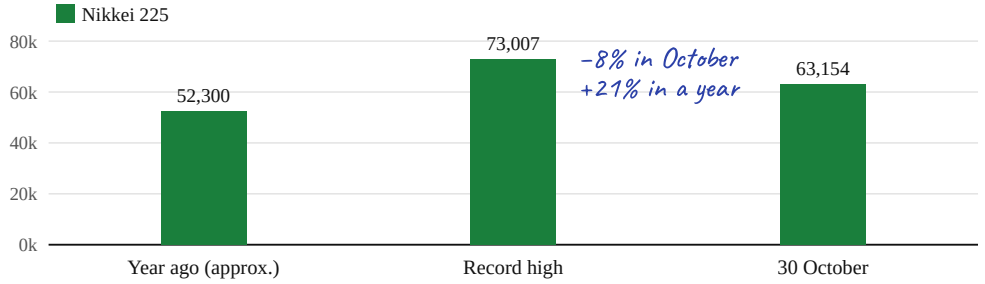
The yen has not benefited much from higher Japanese rates, because US rates rose faster. It weakened to almost 164 per dollar in late July, prompting intervention and pressure from Washington, and is around 157 now, roughly where it began the year. The rate gap, not the BoJ alone, sets the yen. The Nikkei 225 fell 2.3% to 63,154 on 30 October, led by technology names, and is down about 8% in October but still up about 21% over a year, after a record above 73,000.

Exhibit 5. Japanese yen per US dollar since January 2024



Source: Federal Reserve H.10 daily exchange rates, to 23 October 2026.

Exhibit 6. Nikkei 225 reference points



Sources: Trading Economics (30 October close, record high, one-year change); year-ago level derived from the reported 20.8% annual gain.

5.0 Japan in the Global Picture

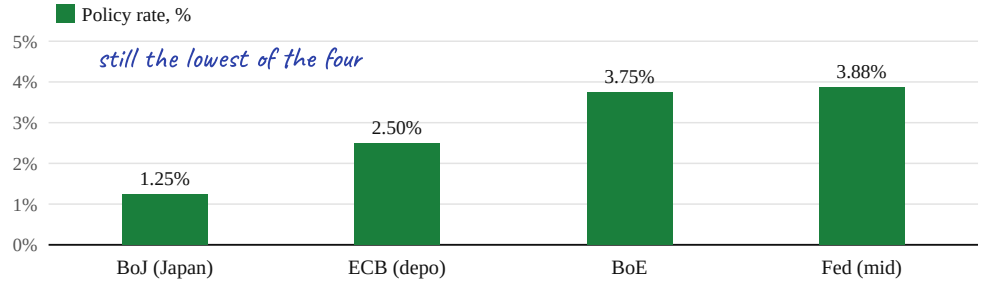
Still the lowest rates

1.25% vs ~3.9%

Even after the declaration, Japan's policy rate is far below its peers: 1.25% against 2.5% at the ECB, 3.75% at the Bank of England and 3.75% to 4% at the Fed. Real rates remain negative with inflation above 2%. That gap is why the yen stays weak and why markets expect several more Japanese hikes. It also explains why the BoJ is cautious: Japan's second-quarter GDP grew at only 1.1% annualised, and Ueda has said growth does not justify rushing. A central bank that has won its war is now managing the peace, with an uncertain neutral rate somewhere above today's level.

~1.2%

Exhibit 7. Policy rates, end of October 2026 (%)



Sources: Bank of Japan; ECB; Bank of England; Federal Reserve (midpoint).

6.0 Scenarios and Calendar

The next steps

Exhibit A. Andra Markets scenarios to mid-2027

Scenario	Prob.	BoJ	Markets
Gradual normalisation	55%	+25bp in Dec or Jan; another by mid-2027	JGB 10y 2.75-3.25%; yen 145-160
Faster tightening	25%	inflation overshoots; two hikes by spring	JGB 10y above 3.25%; yen stronger
Pause	20%	growth weakens; hikes delayed	yields fall; yen weaker

Andra Markets scenarios; probabilities are judgemental.

Exhibit B. Calendar

Date	Event	Why it matters
Mid-Nov	Japan Q3 GDP	growth vs hikes
Late Nov	October CPI	core above 2%?
December	BoJ meeting	possible hike
Jan 2027	BoJ meeting and Outlook Report	alternative hike date
Spring 2027	shunto wage talks	sustainability of wage-led inflation

Andra Markets selection; dates indicative.

reading: Japan has reached 2% for the first time in the target's history. the job now is to stop it overshooting, slowly

Methodology and Source Notes

Method. This report uses the Bank of Japan's October 2026 Outlook Report and press conference, Japanese inflation and wage data, JGB yields from FRED and market sources, Federal Reserve H.10 exchange rates and press reporting, as available on 31 October 2026. Some charts use selected dates rather than continuous series, as labelled. Scenario probabilities are judgemental. Handwritten notes and highlights are informal commentary by the desk. This note is analysis, not investment advice.

Principal sources. Bank of Japan; Jiji Press via Nippon.com; Reuters via Yahoo Finance and SRN News; CNBC; FatTail; Newsy Today; Statistics Bureau of Japan; FRED; Investing.com; Barchart; Trading Economics; Federal Reserve H.10; Euronews; note.com (Nikkei summary).

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